

firm where a fund manager manages a portfolio of stocks—typically between 20 and 30—as part of a scheme that could be designed around themes like value investing, growth stocks or entrepreneurship, among other things. The minimum ticket size for a PMS scheme is ₹50 lakh.

The growing demand for PMS is corroborated by the fact that the total assets under management (AUM) of the sector has more than doubled in the last five years, growing to ₹32.22 lakh crore as of January 2024 from ₹15.40 lakh crore in January 2019. In fact, the number of portfolio managers has more than doubled in the last seven to eight years to 400-plus.

“The portfolio management industry has demonstrated its capabilities with continuous alpha generation by well reputed and professional managers, thus increasing the inflows and AUM in the industry. This coupled with new entrants has led to strong growth,” says Sunil Rohokale, MD & CEO of ASK Asset & Wealth Management Group, one of the largest PMS firms of the country.

Further, data from the Association of Portfolio Managers of India (APMI), the industry body of PMS firms, shows that of the more than 400 Securities and Exchange Board of India (Sebi)-registered entities offering PMS services in India, around 20 have an AUM in excess of ₹10,000 crore each. Another 60-odd firms are each managing AUM between ₹1,000 crore and ₹10,000 crore.

All of this has been possible

because of regulatory changes that have enhanced the level of disclosures and transparency in the PMS arena, once known to be fraught with opaque fees and performance metrics. In 2020, markets regulator Sebi amended the PMS regulations that were first formulated in 1994. The regulator increased the minimum investment ticket size from the then existing ₹25 lakh to ₹50 lakh—clearly signalling to the industry that PMS had to be sold only to HNIs and not retail investors, who have the option of MFs.

THE SCOPE OF GROWTH FOR PMS AS AN INDUSTRY IS HUGE AS INDIA IS EXPECTED TO SEE A STRONG UPTREND IN THE NUMBER OF HNIs

“While increasing the ticket size would have initially reduced the addressable market size, the uniformity in performance disclosure standards and the setting up of APMI, a self-regulatory association of PMS players, has helped in enhancing the confidence of investors,” says Hiren Ved, Director & CIO of Alchemy Capital Management, a PMS provider with AUM in excess of ₹7,000 crore.

Thereafter, disclosure norms

were enhanced, performance measurement was standardised and loopholes or grey areas that encouraged mis-selling were plugged. For instance, upfront commissions—which typically incentivise distributors to push their clients for regular but unnecessary churning of schemes—were banned, akin to what was mandated for MFs earlier.

“Regulations right from operational aspects such as POA (power of attorney), pool account, minimisation of in-house brokerage related conflict of interests have all gone to institutionalise the business and have provided an added layer of safety to client assets,” says Nitin Raheja, Executive Director, Julius Baer India, a wealth management firm catering to HNIs and ultra-HNIs.

The choice between PMS and MFs assumes significance in the realm of wealth management. While both offer growth opportunities, their approaches diverge. PMS, tailored for HNIs and ultra-HNIs, provide a bespoke investment experience with higher customisation and flexibility, while MFs adopt a standardised approach managed by fund managers, catering to a broader audience with pre-determined objectives. Also, PMS portfolios, characterised by concentrated holdings, offer direct ownership for clients over their stocks, while MFs offer investors units of schemes that have invested in the stocks.

Akhil Chaturvedi, Chief Business Officer of Motilal Oswal Mutual Fund, believes that PMS